

Nagaraj Kumaresan, 25

Company: **Dexterity Business Analysis Pvt Ltd**
Position: **Systems analyst**
Salary: **Rs 30,000 p.m.**
Family: **Five**

How many were sacked in the company: 28

Kumaresan had joined the market research company in February this year only as a systems analyst. Creating RSD and FSD document tools was his area of work. The company, which was started in 1997, had, however, maintained high prof-

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"After the lay-off order, I felt as if my life had entered a dark phase."

itability. But a few months back, the company started losing key clients which prompted it to lay off around 14 per cent of its employees. It was an evening he can never forget when his company's HR department called him up. They said, "You're being laid off from the company." Says Kumaresan: "I felt as if my life has entered a dark phase. I just walked out of the office. But after several days of gloom, I regained my normal self. Now I'm on the lookout for a job."

by **M. Ponnusamy**

“ The slowdown will continue for 18-24 months. Some might defer their expansion plans. VENU SRINIVASAN, CMD, TVS Motor ”



H.K. RAJASHEKAR

Auto and components

High interest rates and falling demand are hurting the vibrant sector. In October, sales dipped 14 per cent. Pile up of inventory has forced closure of plants. Vendors haven't been paid for 120 days, thanks to credit crunch.

51%

OF NEW JOBS PLANNED TO BE SLASHED. UNLESS SALES PICK UP, MORE LAY-OFFS ARE ON THE CARDS.

by loss of orders from big companies. If growth dips to 6.3 per cent as forecasted, the economy will create only around six million jobs and leave a third of the nine million entering the job market jobless adding to the already high 10-plus per cent unemployment rate.

The elementary and immediate imperative is to kickstart investments to push growth and thus create jobs. There is no dearth of literature as the UPA's A-team knows or opportunities to do this. We badly need power, good roads, low cost housing and public facilities. We have a savings rate of over 27 per cent, we have improved productivity, have the skill set to execute big projects and have been innovative in funding them. What is required, or rather, what is lacking is the political will to align needs and opportunities. Look at China. Just one example should suffice. India added 24,000 MW in five years and plans to add 48,000 MW in the next five while China added 1,05,000 MW in just 2006. The Chinese economy has only slowed down to 9.9 per cent and

yet they have announced a \$586-billion stimulus package. We face worse and are yet waffling about the steps we need to take. Even if the Government helped push 10 of the stalled investments worth \$180 billion, it would generate enough charge in the economy. The current crisis will not be cured by mere sops or fractional reduction in cost of money. The 2004-2008 bull run of the economy was engineered by private enterprise, private consumption and foreign capital. This time the India Story will have to be authored with Indian capital, skills and innovation. It will require astute political leadership. The first step is to accept that there is a problem.

with **Nivedita Mukherjee, Nandini Vaish, Ramesh Vinayak, Rohit Parihar, Stephen David, Anand Natarajan and Amarnath K. Menon**



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